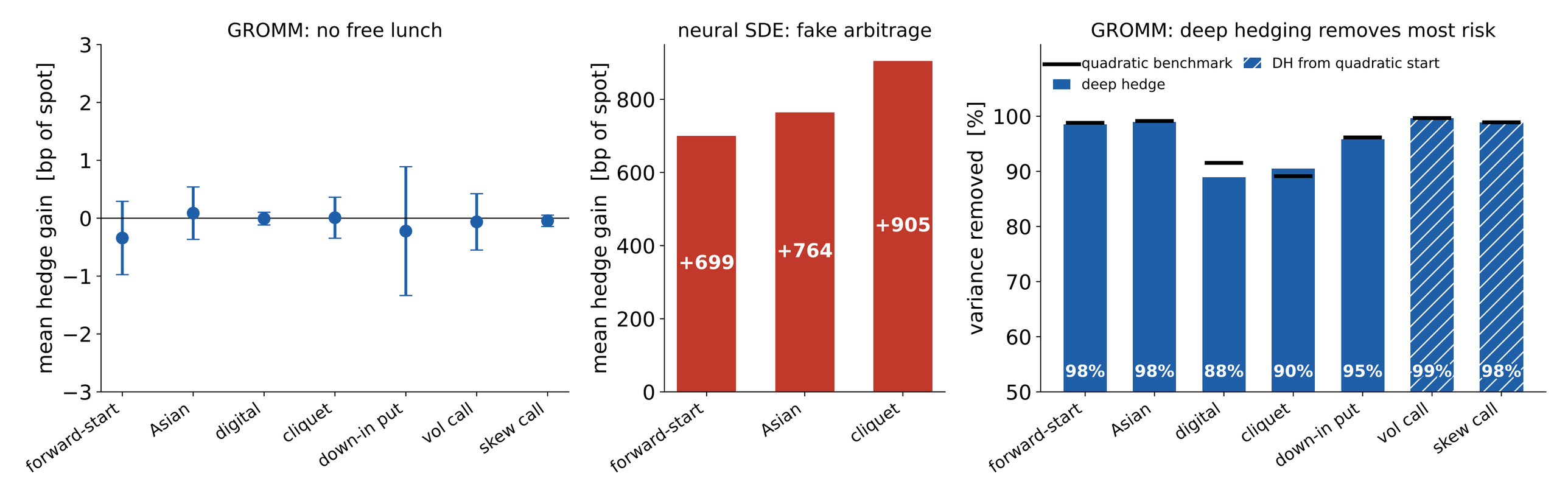
GROMM: no free lunch
mean hedge gain [bp of spot]
3
2
1
0
−1
−2
−3
forward-start
Asian
digital
cliquet
down-in put
vol call
skew call
neural SDE: fake arbitrage
mean hedge gain [bp of spot]
800
600
400
200
0
+699
+764
+905
forward-start
Asian
cliquet
GROMM: deep hedging removes most risk
quadratic benchmark
DH from quadratic start
deep hedge
variance removed [%]
100
90
80
70
60
50
98%
98%
88%
90%
95%
99%
98%
forward-start
Asian
digital
cliquet
down-in put
vol call
skew call